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Arab Open University

Faculty of Business Studies

BB293

Financial Accounting in Context

Final Exam

2025-2026 / Summer Semester

Version B

3 – September – 2026

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Number of Exam Pages: 6 (including this cover sheet)	Time Allowed: 3 Hours

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
- Do **NOT** write your answers in pencil except for graphs/sketches.
- Students are **NOT** allowed to use any type of dictionary or mobile phones during the e
  Students are allowed to use ***non-programmable*** calculators only (if needed).
  Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating P



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Question 1 (20 marks)

1. Cash received from selling goods or providing services is classified under which category in the cash flow statement?
   a. Investing activities
   b. Operating activities
   c. Financing activities
   d. Non-cash item

2. Interest paid to lenders or bondholders is usually classified in the cash flow statement as:
   a. Operating activities *(commonly under IAS 7)*
   b. Financing activities
   c. Investing activities
   d. Non-cash item

3. What is the term for allocating the cost of a non-current asset over its useful life?
   a. Finance cost
   b. Depreciation expense
   c. Amortization of liabilities
   d. Subscription expense

4. Equipment costing £40,000 with accumulated depreciation of £15,000 was sold for £30,000. What is the gain or loss on disposal?
   a. Gain of £5,000
   b. Loss of £5,000
   c. Gain of £25,000
   d. Loss of £25,000

5. Short-term, highly liquid investments that can be easily converted into cash are known as:
   a. Operating assets
   b. Cash equivalents
   c. Current liabilities
   d. Trade receivables

6. Which of the following refers to an amount paid to shareholders from company profits, resulting in a reduction in retained earnings?
   a. Finance cost
   b. Dividend paid
   c. Revenue received
   d. Provision

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7. Which financial statement reports a company's cash inflows and cash outflows during an accounting period?
   a. Balance sheet
   b. Income statement
   c. Cash flow statement
   d. Statement of retained earnings

8. A non-current asset cost £50,000 and had accumulated depreciation of £30,000. It was sold for £25,000. What is the profit or loss on disposal?
   a. Loss of £5,000
   b. Profit of £5,000
   c. Loss of £15,000
   d. Profit of £15,000

9. What type of contract is legally enforceable and fulfills all essential elements of a valid agreement?
   a. Valid contract
   b. Voidable contract
   c. Illegal contract
   d. Void contract

b. Which of the following represents an obligation with uncertain timing or amount that is recognized only when it is probable and can be measured reliably?
   a. Current liability
   b. Long-term liability
   c. Provision
   d. Contingent liability

[2 marks for each correct answer = 20 marks]

Question 2 (20 marks)

A company is planning a major strategic expansion and needs to identify which stakeholders require the most attention during decision-making. Explain Mendelow's Matrix and discuss how stakeholder power and interest can be assessed to support effective stakeholder management.

Question 3 (20 marks)

a. Define the Cash Flow Statement and explain its purpose in financial reporting. Briefly describe the three main sections of the cash flow statement.

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(10 marks)

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b. Green Ltd has the following relevant information:

1. Green Ltd has cash on 1 January 2025 of £20,000.
2. The opening inventory on 1 January 2025 is £6,000.
3. During January 2025, Green Ltd makes purchases of £30,000, paying by cash.
4. The company sells all of its inventory in January, making cash sales of £12,000 and credit sales of £60,000.
5. There is no inventory at the end of January.
6. In January, the expenses of the company are £8,000. These will be paid on 2 February 2025.

Required:

a. Calculate the profit made by Green Ltd for January 2025 and show the cash balance at 31 January 2025.

b. Can Green Ltd pay for the expenses due in February 2025?

(10 marks)

Question 4 (20 marks)

Below are Orion Ltd.'s statement of financial performance for the year ended 31 December 2024, the retained earnings section of the statement of changes in equity for the year ended 31 December 2024, and the statements of financial position for the years ended 2024 and 2023:

Orion Ltd – Statement of Financial Performance for the year ended 31 December 2024

	£
Sales revenue	1,640,000
Cost of sales	(800,000)
Gross profit	840,000
Investment income	8,400
Administrative expenses	(360,000)
Distribution costs	(150,000)
Profit before interest and taxation	338,400
Finance cost	(19,600)
Profit before taxation	318,800
Taxation	(90,000)
Profit for the year	228,800

Orion Ltd – Statements of Financial Position for the year ended 31 December 2024

	2024 (£)	2023 (£)
Assets		
Non-current assets		

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Property, plant and equipment at cost	360000	260,000
Less accumulated depreciation	(160,000)	(130,000)
Net book value	200,000	130,000
Investments	60,000	30,000
Current assets		
Inventory	80,000	100,000
Receivables	440,000	56,000
Interest receivable	5,000	5,600
Prepayments	6,000	7,000
Bank	15,000	12,000
Total assets	806,000	340,600
Equity and liabilities		
Ordinary shares (£1 each)	76,000	40,000
Share premium on ordinary shares	30,000	
10% irredeemable preference shares	50,000	50,000
Retained earnings	290,000	10,0000
Total equity	446,000	190,000
Non-current liabilities: Bonds	220,000	20,000
Current liabilities		
Payables	130,000	80,000
Accruals	1,400	10,000
Interest payable	3,000	4,000
Taxation	105,600	36,600
Total equity and liabilities	806,000	340,600

Required:

Prepare the cash flow statement for Orion Ltd for the year ended 31 December 2024, showing cash generated from/(used in) operating activities.

Question 5 (20 marks)

Carter Bank is carrying out a credit appraisal for Orion Ltd, which has applied for an unsecured five-year loan of £170,000. Extracts from Orion Ltd's latest financial statements are provided below.

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Extract from Financial Statement

	2025 (£)	2024 (£)
Current assets		
Inventory	91,000	100,000
Trade receivables	241,600	170,000
Prepayments	28,400	36,000
Cash and cash equivalents	80,000	120,000
Total current assets	441,000	426,000
Equity and liabilities		
Share capital and reserves		
Ordinary share capital	2,000,000	2,000,000
Retained earnings	1,400,000	1,160,000
Total share capital and reserves	3,400,000	3,160,000
Non-current liabilities	2,100,000	2,000,000
Current liabilities		
Trade payables	110,000	70,000
Accruals	60,000	56,000
Corporation tax	64,000	80,000
Total current liabilities	234,000	206,000
Total equity and liabilities	5,734,000	5,366,000
Operating profit	450,000	480,000
Finance cost	(140,000)	(100,000)
Profit before taxation	310,000	380,000
Taxation	(64,000)	(80,000)
Net profit	246,000	300,000
Dividends paid	30,000	50,000

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Required:

Using the information above, compute the following ratios for 2025 and 2024 and comment on each for yearly comparison:

a. Current ratio
b. Acid-Test ratio
c. Gearing ratio
d. Interest cover
e. Debt ratio

End of Questions

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